

Submission MICRO1-FINAL-SUB01

Question MICRO1-FINAL-Q01

scratch: show step

1. $44 - 4P = 7 + P \Rightarrow P^* = (44 - 7) / (4 + 1) = 7.40$

2. $Q^* = 44 - 4(7.40) = 14.40$

3. substitution gives $Q_d = Q_s$

=> FINAL: $P^* = 7.40$, $Q^* = 14.40$ (check units/interpretation)

Question MICRO1-FINAL-Q02

scratch: show step

1. $\% \Delta Q = -4/38.0$

2. $\% \Delta P = 0.0952$

3. $E = -1.11$; $|E| > 1$ (elastic)

=> FINAL: elasticity = -1.11; elastic (check units/interpretation)

Question MICRO1-FINAL-Q03

scratch: show step

1. Shift the wedge between buyer and seller prices by t.

2. Quantity falls relative to equilibrium.

3. The lost mutually beneficial trades create a positive deadweight-loss triangle.

=> FINAL: buyer price minus seller price equals tax; quantity falls; deadweight loss increases (check units/interpretation)

Question MICRO1-FINAL-Q04

scratch: show step

1. $SMC = PMC + \text{marginal external cost}$, so SMC lies above PMC.

2. A Pigouvian tax equal to marginal external cost aligns private and social incentives.

=> FINAL: social MC above private MC; Pigouvian tax can internalize the external cost (check units/interpretation)

Question MICRO1-FINAL-Q05

scratch: show step

1. At the ceiling, Q_d exceeds Q_s .

2. Shortage = $Q_d - Q_s$; queues or rationing allocate the scarce quantity.

=> FINAL: $Q_d > Q_s$ creates a shortage; queues/rationing may allocate units (check units/interpretation)

Question MICRO1-FINAL-Q06

scratch: show step

1. $31 - 5P = 8 + P \Rightarrow P^* = (31 - 8) / (5 + 1) = 3.83$

2. $Q^* = 31 - 5(3.83) = 11.83$

3. substitution gives $Q_d = Q_s$

=> FINAL: $P^* = 3.83$, $Q^* = 11.83$ (check units/interpretation)

Question MICRO1-FINAL-Q07

scratch: show step

1. $\% \Delta Q = -2/19.0$

2. $\% \Delta P = 0.0952$

3. $E = -1.11$; $|E| > 1$ (elastic)

=> FINAL: elasticity = -1.11; elastic (check units/interpretation)

Question MICRO1-FINAL-Q08

scratch: show step

1. Shift the wedge between buyer and seller prices by t.

2. Quantity falls relative to equilibrium.

3. The lost mutually beneficial trades create a positive deadweight-loss triangle.

=> FINAL: buyer price minus seller price equals tax; quantity falls; deadweight loss increases (check units/interpretation)

Question MICRO1-FINAL-Q09

scratch: show step

1. $SMC = PMC + \text{marginal external cost}$, so SMC lies above PMC.

2. A Pigouvian tax equal to marginal external cost aligns private and social incentives.

=> FINAL: social MC above private MC; Pigouvian tax can internalize the external cost (check units/interpretation)

Question MICRO1-FINAL-Q10

scratch: show step

1. At the ceiling, Q_d exceeds Q_s .

2. Shortage = $Q_d - Q_s$; queues or rationing allocate the scarce quantity.

=> FINAL: $Q_d > Q_s$ creates a shortage; queues/rationing may allocate units (check units/interpretation)